

Having bought the shares from Ketan, the brokerages would immediately put through a sell order for the same block at a slightly higher price, the buyers being Ketan and his associates! This time the deal would be routed through the clearing house, giving Ketan about ten days' time to settle the trade as the payments had to be made only in the week following the weekly settlement cycle. Whatever Ketan's claim to the JPC about this web of dealings, the public thought of these large trades as a sign of FII interest in a stock.

With the market showing no signs of revival, Ketan's troubles were now mounting by the day. When the market had been on the rise, some politicians and their affiliates had given sizeable sums to Ketan to work his magic and multiply their money. As was to be expected, Ketan invested most of it in the stocks he operated. With the prices headed south, he was now in no position to return the principal, let alone get returns on them. The powerful people who had given him money had not the faintest clue about how the stock market worked, and did not care to know either. All they were bothered about was their money.

The bears were now striking at will, aware that Ketan would not be able to support prices with the same ease he did during the bull market. Also, Ketan had unwittingly antagonized politically powerful people. His proximity to Amar Singh worried some of the big guns in the BJP. The Samajwadi Party and the BJP were fierce rivals, particularly in Uttar Pradesh, and there was a growing feeling that Ketan had become an important source of funds for the SP.

Then there were the old-economy industrialists who had to endure the double agony of investors ignoring their stocks and upstart technology companies growing in market capitalization by the day. Thanks to Ketan pumping up their stock prices, many technology companies were now in a position to raise huge sums from the market with minimum equity dilution. This allowed them to expand operations at a much faster pace. The new entrants were not a direct threat to the established brick-and-mortar companies, but the latter found it hard to digest the fact that companies with barely any physical assets were commanding exorbitant valuations. In short, Ketan was seen as arming the challengers and threatening to upend the established order.

The Union Budget in February 2001 brought brief cheer to the market. However, unlike the previous couple of Budgets, this one had little for the